

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

COMPLAINANT PELOTON INTERACTIVE INC.'S OPPOSITION TO
RESPONDENT FLEXPORT INTERNATIONAL LLC'S
MOTION TO DISMISS THE COMPLAINT

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**PELOTON’S OPPOSITION TO FLEXPORT’S
MOTION TO DISMISS THE COMPLAINT**

Complainant Peloton Interactive, Inc. (“Peloton”), by its undersigned attorneys, respectfully submits this memorandum of law in opposition to the Motion to Dismiss (“Motion”) of Respondent Flexport International LLC (“Flexport”).

INTRODUCTION

Flexport wrongly invoiced Peloton for millions of dollars in demurrage and detention charges in violation of the Shipping Act of 1984, 46 U.S.C. § 40101, *et seq.* (the “Shipping Act”) and contrary to the store door terms on which Flexport was required to operate; the Federal Maritime Commission (the “Commission” or “FMC”) is the proper arbiter of Peloton’s claim to seek reparations for these wrongful charges; and Peloton’s Verified Complaint more than satisfies the well-established notice pleading requirements to bring claims before the Commission. Peloton’s Complaint puts Flexport on ample notice of the pattern and practice of Shipping Act violations that underlie its claims and give rise to jurisdiction in this forum. Flexport’s Motion—based thinly on unsupported and mischaracterized attorney argument styled as “facts” and incorrect jurisdictional and procedural grounds—should be denied.¹ Because Peloton has advanced more than sufficient factual bases to support its claims and survive a motion to dismiss, Flexport’s Motion should be seen for what it is—a tactic to delay adjudication of the dispute and distract from the merits. Flexpot’s Motion should be swiftly rejected so the parties can proceed with discovery and a decision on the merits.

Peloton filed its Verified Complaint (Dkt. No. 1) (“Complaint”) on May 8 2024. In its Complaint, Peloton sets out its claims against Flexport based on Flexport’s pattern of conduct in

¹ Peloton disputes the purported factual allegations in Flexport’s Motion.

violation of the Shipping Act. On June 17, 2024, Flexport filed its Motion urging the dismissal of the entirety of the Complaint on the purported bases that the Commission lacks jurisdiction over the alleged Shipping Act violations and that the Complaint has failed to state claims for which relief can be granted. (Dkt. No. 10). Each of Flexport’s contentions should be rejected:

- Peloton’s Complaint alleges violations of the Shipping Act, which plainly fall within FMC jurisdiction.
- Peloton’s Complaint pleads sufficient facts to meet the pleading requirements and puts Flexport on notice of Peloton’s claims against it and the reparations sought for each count.
- Flexport’s purported “factual” allegations are unsupported and inappropriate in a motion to dismiss, and are plainly an attempt to distract from Peloton’s well-pleaded allegations of Flexport’s Shipping Act violations.

Peloton’s Complaint raises serious violations of the Shipping Act and articulates the causes of action and supporting factual allegations in substantial detail and identifies practices that clearly invoke the incentive principle as outlined in the Commission’s final rulemaking discussion on the Interpretive Rule on Demurrage and Detention Under the Shipping Act (85 F.R. 29638) (“Interpretive Rule”). Flexport simply cannot override the fundamental principle that the Commission has an obligation to address well-pleaded allegations of violations of the Shipping Act. *See Cargo One, Inc. v. COSCO Container Lines, Co.*, Dkt. No. 99-24, 2000 WL 1648961 (FMC Oct. 31, 2000); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.* (“Anchor”), 30 S.R.R. 991, 998 (FMC 2006).

Peloton has set forth plausible claims that Peloton is entitled to relief, as required to survive the instant motion to dismiss. Flexport’s Motion should be denied in its entirety, if not stricken for its delay tactics and attempted obfuscation through distorted and irrelevant “facts.”

FACTUAL BACKGROUND

A. Flexport, a non-vessel operating common carrier (“NVOCC”), transported Peloton’s cargo under “store door” terms, which included arranging and handling the inland movement of Peloton’s shipments, including the return of empty containers

Peloton is a technology-enabled fitness company that offers, among other things, connected fitness equipment, apparel, and classes through streaming and on-demand media. *Id.* Peloton’s connected fitness product portfolio includes the Peloton Bike, Bike+, Tread, Tread+, Guide, and Row. Peloton operates internationally and in North America. *Id.*

In support of its U.S. operations, Peloton is a consignee of goods shipped into the U.S. Compl. ¶ 2. During the period covered by the Complaint, Flexport, in its capacity as a non-vessel operating common carrier (“NVOCC”), transported Peloton’s cargo under “store door”² terms. Compl. ¶¶ 19-21. Under store door terms, the carrier undertakes responsibility to transport each container not only for the ocean leg of the transportation, but also onward from the ocean terminal to the ultimate delivery destination, and then back to the carrier’s designated redelivery terminal, at a premium. Compl. ¶ 20. With the understanding that the carrier contracts with a trucking company for the delivery of the containers from the ocean terminal to the ultimate destination and for return of the unloaded empty containers, under store door terms the carrier remains responsible for the inland transportation. *Id.* This includes ensuring the pickup of containers from

² Flexport’s Motion to Dismiss oddly claims that “store door” delivery is not a “known industry term.” Motion at 9. But as reflected in the FMC’s Interpretive Rule on Demurrage and Detention Under the Shipping Act, and Flexport’s own tariff, “store door” or “door” is a known industry term. 85 Fed. Reg. 29664 (In a carrier haulage arrangement, also referred to as “store door” delivery or a “door move” or “door-to-door” transportation, the ocean carrier is responsible for arranging transport of a container from the terminal to another location, such as a consignee warehouse.”); *see also* Flexport Tariff: https://www.flexport.com/terms-and-conditions/general_quote_terms/ (last visited July 2, 2024).

U.S. marine and intermodal terminals, the delivery of containers to the designated inland locations, and the return of empty containers to a carrier-designated return location. *Id.*

B. During the relevant period, Flexport failed to fulfill its delivery responsibilities, regularly failing to timely pick up and deliver Peloton Containers, instead shifting its inland transportation responsibilities to Peloton while also charging increasing amounts of demurrage and detention

Notwithstanding its responsibilities under a store door move, during the relevant period, Flexport—along with its subcontractor trucking and rail companies—failed to fulfill its delivery responsibilities, regularly failing to timely pick up Peloton Containers from U.S. marine and intermodal terminals and failing to timely deliver Peloton Containers to their designated inland destinations. Compl. ¶ 23. At the same time, Flexport began charging Peloton increasing amounts of detention and demurrage, which resulted from Flexport’s inland transportation delays and failures. Compl. ¶ 25. Flexport imposed those charges notwithstanding its responsibilities for the inland movement of Peloton’s containers, and without regard to Peloton’s practical inability to meaningfully effect the transportation of the containers, which remained under Flexport’s control. Compl. ¶¶ 27-30.

C. Flexport does not dispute that it collected or invoiced the detention and demurrage from Peloton.

Flexport does not dispute that it collected or invoiced the detention and demurrage from Peloton. Indeed, Flexport’s Motion *confirms* this fact (Motion at 13), despite its protestations that it somehow is incapable of knowing which charges are in dispute because Peloton has identified (and disputes) all of them. *See* Compl. ¶¶ 48-51.

Ignoring the verified allegations in the Complaint directly refuting its claims, Flexport argues that it “asked Peloton to identify what invoices and line items were in dispute, and to advise as to the basis of the dispute” but claims Peloton did not. Motion at 7. To the contrary, Peloton’s counsel provided a list of charges with the FLEX-ID numbers following a demand for

same by Flexport (Compl. ¶ 49), which Flexport does not dispute in its Motion. Despite Peloton's numerous overtures to resolve these issues, it was Flexport that refused to meaningfully engage, leading to the necessity of the instant Complaint. Compl. ¶ 48. Peloton's Complaint alleges that Flexport repeatedly charged detention and demurrage in violation of the Shipping Act, which Peloton was required to pay because of Flexport's unreasonable conduct related to handling Peloton's cargo, and for which Peloton now seeks reparations. Flexport has received sufficient notice as to the nature and basis of the claim, and the relief sought, and jurisdiction is squarely within this Commission's purview.

Ultimately, Flexport's use of mischaracterized "facts" and arguments proffered to dismiss the Complaint are without merit and are simply an attempt by Flexport to distract the Presiding Officer from the fact that Peloton has plausibly stated facts sufficient to establish Shipping Act violations. While Peloton disputes much of Flexport's recitation of "facts," Peloton recognizes that disputes of fact are not appropriate for resolution on a motion to dismiss; greater detail is not required nor warranted at this stage.

LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances not covered by the Commission's Rules to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. "In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 531634 at *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008 at *11 (FMC Aug. 1, 2011)); see

also *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 2020 WL 6445041 at *5 (FMC, Oct. 29, 2020) (stating that the Commission looks to Rule 12(b)(6) when considering dismissals for failure to state a claim). The Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009). The complaint must be sufficient to “give the defendant fair notice of what the ... claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”).

Mitsui, 2011 WL 7144008 at *12.

While a “formulaic recitation of the elements of a cause of action” is not sufficient, “[w]hen there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678-79 (2009). Meeting the plausibility standard “simply calls for enough fact[s] to raise a reasonable expectation that discovery will reveal evidence” of the alleged violation. *Twombly*, 550 U.S. at 556. At the motion to dismiss stage, the “choice between two plausible inferences that may be drawn from factual allegations is not a choice to be made by the court on a Rule 12(b)(6) motion.” *Anderson News, LLC v. Am. Media, Inc.*, 680 F.3d 162, 185 (2d Cir. 2012). The Commission explains: “Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint.” *Cornell*, 2014 WL 531634 at *6, 33 S.R.R. at 620-621 (citations omitted).

Accordingly, all well-pleaded factual allegations in the Complaint must be assumed to be true and are to be construed in the light most favorable to Peloton.

ARGUMENT

I. THE COMMISSION HAS JURISDICTION OVER PELOTON’S COMPLAINT ALLEGING VIOLATIONS OF THE SHIPPING ACT

Flexport’s jurisdictional challenges should be rejected. The law is clear that the Commission has jurisdiction over claims brought under the Shipping Act, a point reaffirmed by the Commission earlier this year in its unanimous decision in *MCS Industries, Inc. v. Mediterranean Shipping Co. S.A.*, Dkt. No. 21-05, 2024 WL 95383 at *6-7 (FMC, Jan. 3, 2024). Not only does the Commission have jurisdiction over Shipping Act claims, but the Commission also has a statutory obligation to determine whether Flexport has violated the Shipping Act. *YSN Imports Inc. D/b/a/ Flame King, Complainant v. Feige “Peggy” Oberlander, U Shippers Group Inc., U Shippers Group Management Co., Inc., Respondents.*, FMC Dkt. No. 21-02, 2021 WL 2935838, at *4 (ALJ July 7, 2021). Thus, failure to exercise its jurisdiction over a private-party complaint alleging Shipping Act violations, like Peloton’s Complaint, “would eviscerate the reparations remedy afforded complainants by the statute”—a Shipping Act remedy exclusively within FMC jurisdiction. *See, e.g., MCS Indus., Inc., v. Flexport Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Co. S.A.*, Dkt. No. 21-05, 2022 WL 458569, at *5 (ALJ, Feb. 4, 2022).

Flexport tries to re-write Peloton’s Complaint as a breach of contract claim, then argues that the Commission lacks jurisdiction over that re-write. Motion at 9-10. But the Complaint does not allege breach of contract and there are no provisions or clauses in any agreement between the parties on which Peloton relies when making its allegations of Shipping Act violations.³ Rather,

³ *See, e.g., Caterpillar Inc. v. Williams*, 482 U.S. 386, 398-99 (1987) (rejecting defendant’s attempt to recast the dispute as arising under federal law, which would support removal, instead

the Complaint alleges that Flexport, an FMC regulated common carrier, failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property, specifically in connection with assessing, invoicing, and collecting detention and demurrage for the movement of cargo. Compl. ¶¶ 9, 15-16, 22-23, 25-30, 33-38, 42, 46, 47. Peloton has alleged elements unique to the Shipping Act, including with respect to Flexport’s demurrage and detention practices, and such practices clearly invoke the Incentive Principle as outlined in the Commission’s final rulemaking discussion on the Interpretive Rule. 85 Fed. Reg. 29638.

Flexport’s self-serving attempt to recast allegations in terms of a contract breach, or even more curiously as a false advertising claim, have been soundly rejected by decision-makers when ruling on motions to dismiss. Simply stated, the Complaint must be taken as written, and Peloton has properly pleaded violations of the Shipping Act by Flexport. *Rahal International Inc. v. Hapag-Lloyd AG, Hapag-Lloyd (America), LLC, and Hapag-Lloyd USA, LLC* is instructive. There, respondents attempted to recast complainant’s Shipping Act claims as COGSA claims, arguing they were within the sole purview of the federal courts, and not the Commission. FMC Dkt. No. 23-05, 2023 WL 6391708, *1 (ALJ Sept. 27, 2023). The presiding officer rejected this argument finding that the complaint “does not merely allege damages while the cargo in question was being shipped but rather, that Respondents’ conduct in violation of the Shipping Act caused the cargo to incur the alleged damages.” *Id.* at *5. *Rahal* is analogous to Flexport’s efforts in its Motion to recast Peloton’s allegations as breach of contract claims outside of the Commission’s

accepting the claim as pled under state law, observing that plaintiff is “the master of the complaint” and can proceed in the chosen forum with the chosen claims pled).

jurisdiction—and, as in *Rahal*, Flexport’s efforts should be rejected. FMC Dkt. No. 23-05, 2023 WL 6391708, at * 5-6 (ALJ Sept. 27, 2023).

The remainder of Flexport’s arguments should also be rejected. **First**, Peloton’s Complaint alleges Shipping Act violations that exist independent of any contractual agreement and are peculiar to the Shipping Act. Like here, a carrier’s practice and policy of assessing detention and demurrage and seeking reparations for unjust and unreasonably assessed charges are specific to the Shipping Act and the complaint is appropriately before the Commission. *Cargo One v. COSCO Container Lines, Co.*, Dkt. No. 99-24, 2000 WL 1648961 at *14 (FMC Oct. 31 2000); *see also Ysn Imports, supra*, 2021 WL 2935838, at *4 (“The Commission has an obligation to determine whether an entity has violated the Shipping Act. The allegations in the complaint clearly extend beyond one particular contractual dispute to whether the Respondents are violating the Shipping Act.”); *Rahal*, FMC Dkt. No. 23-05, 2023 WL 6391708, at * 5-6, Order on Motion for Summary Judgement and Motion to Dismiss (Sept. 27, 2023) (rejecting respondents’ motion to dismiss finding that complainant’s claims were not “simple loss or damage” contract claims but instead involved elements “peculiar to the Shipping Act”).

Second, Flexport’s cited case law, including its primary reliance on *SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926 (ALJ April 15, 2024) (“*SeaFair*”), is inapposite. Relying on *SeaFair* is particularly curious **because that case did not concern a motion to dismiss an FMC complaint**. Instead, the presiding officer in *SeaFair* had issued its decisions **after** both parties had an opportunity to present evidence, which is another reason why the Motion should be dismissed and this case should proceed to discovery. Moreover, *SeaFair* does not support Flexport’s untenable proposition that a regulated entity’s policies and practices with respect to assessing demurrage and detention are outside of FMC jurisdiction simply

because a bill of lading was issued for a shipment. If the issuance of a bill of lading was sufficient to preclude the FMC from having jurisdiction over a dispute, the FMC's jurisdiction would shrink to almost nothing, including making Congress's mandate in OSRA 2022 virtually meaningless.

The circumstances in *SeaFair* are also distinguishable from the allegations in Peloton's Complaint. *SeaFair*'s claims were found to be inherently contractual without any overlapping Shipping Act violations. In *SeaFair* the remedy sought was reimbursement pursuant to an indemnification provision in a contract. Here, Peloton seeks a statutory remedy for Flexport's violations of the Shipping Act, not contract damages, which is squarely within the Commission's jurisdiction to determine. *See Caterpillar*, 482 U.S. at 392 (when both state-law and federal law claims exist, a plaintiff "may avoid federal jurisdiction by exclusive reliance on state law.").

Moreover, even assuming, *arguendo*, that Peloton's alleged Shipping Act violations overlapped with contract claims, the Commission would still have jurisdiction over the Shipping Act claims, which is emphasized in Flexport's cited authority, *SeaFair*:

The Commission has an obligation to address Shipping Act claims, even if the relevant facts may also give rise to other claims between the parties. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024). The Commission has jurisdiction over Shipping Act claims even if a related proceeding is underway. *Id.* Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier's broader practices beyond those directly affecting the complainant. *Id.* While breach of contract claims are resolved in court or as otherwise agreed by the parties, a claim for violation of the Shipping Act may only be resolved by the Commission.

Id. at *8.

Third, Flexport's assertion that the Commission lacks jurisdiction on the basis of Flexport's apparent intention to rely on defenses to a breach of contract claim not raised on the face of the Complaint cannot deprive the Commission of jurisdiction. As the Commission made plain in *Cargo One v. COSCO Container Lines, Co*, it is "inappropriate and contrary" to the

Shipping Act to bar any Shipping Act claim on the basis that it “bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action.” 2000 WL 1648961, at *14. Even the presence of allegations that may be essential to contract law claims does not automatically divest the Commission of jurisdiction. *Id.* As this Commission has explained:

[W]e find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action. We believe the more appropriate test is whether a complainant’s allegations are inherently a breach of contract claim, **or whether they also involve elements peculiar to the Shipping Act.** We find that as a-general [sic] matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. **In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.**

Id. (footnotes omitted) (emphasis added).⁴

While federal admiralty courts have jurisdiction over particular breach of contract claims, including bills of lading and certain service contract disputes, the cases⁵ cited by Flexport all concern allegations of specific contractual breaches, not allegations of unlawful practices and procedures in violation of the Shipping Act and requests for reparations thereunder, as alleged in the Complaint here.⁶ Nor does the Shipping Act contemplate the Commission solely relying on its investigatory functions to enforce the Shipping Act, because failure to exercise its jurisdiction over

⁴ In *Cargo One*, the Commission found that certain violations alleged in the Complaint were substantially contract law claims but that the remaining allegations involved unfair or unjustly discriminatory practices, undue or unreasonable preferences, undue or unreasonable prejudice or disadvantage, and just and reasonable regulations and practices. Because these remaining allegations inherently related to Shipping Act prohibitions, they were properly brought by the complainant before the FMC. 2000 WL 1648961 at *14.

⁵ Motion at 9; *Supra* pg. 9-10.

⁶ *Supra* pg. 9-10.

private-party complaints alleging Shipping Act violations “would eviscerate the reparations remedy afforded complainants by the statute”—a Shipping Act remedy exclusively within the Commission's jurisdiction. *See MCS Indus., Inc., v. Flexport Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Co. S.A.*, Dkt. No. 21-05, 2022 WL 458569, at *5 (ALJ, Feb. 4, 2022).

Finally, even if Flexport were correct that Peloton had alleged a breach of contract claim that could be brought in another forum, Flexport’s challenge would still fail because the Commission’s precedent holds that “even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act.” *See VerTerra Ltd. v. D.B. Group Am. Ltd. & D.B. Group India Ltd.*, Dkt. No. 19-09, 2020 WL 1150930, at *2 (ALJ Mar. 5, 2020) (denying motion to stay where the complaint alleged Shipping Act violations that the Commission is obligated to adjudicate and “even though a proceeding in another forum may have resolved some issues between the parties.”).

Peloton’s Complaint asserts that Flexport’s policies, practices and procedures in handling Peloton’s shipments including the assessment of demurrage and detention were unreasonable. Peloton’s claims relate to elements specific to the Shipping Act and are not based on contractual obligations, which are within the jurisdiction and expertise of the Commission.

II. EACH COUNT OF THE COMPLAINT IS SUPPORTED BY SUFFICIENT FACTUAL ALLEGATIONS DEMONSTRATING THAT FLEXPORT VIOLATED THE SHIPPING ACT

While Peloton has met the notice pleading requirements for Counts I, II, and III of its Complaint, Flexport asserts that Peloton has failed to establish facts sufficient to demonstrate that Flexport has violated the Shipping Act. Flexport’s arguments simply choose to ignore the detailed facts outlined in Peloton’s Complaint. Flexport attempts to impose a heightened *particularity* requirement on Peloton’s pleading, claiming more is required for Flexport to understand *how* it violated the Shipping Act, but all that is required at the pleading stage is a clear and concise

statement of the claim showing that the pleader is entitled to relief. 46 CFR § 502.62(a)(iii); *see also* Fed. R. Civ. P. 8(a)(2). “It is not necessary for the plaintiff to plead evidence, and it is not necessary to plead the facts that serve as the basis for the claim.”⁷ Flexport’s attempt at an early escape from responsibility before the FMC should fail; Peloton’s allegations are more than sufficient to put Flexport on notice of the issues that are necessary to be addressed in the discovery phase of this proceeding and ultimately decided upon by the Presiding Officer—and this is all that is required. Peloton will address each of its three counts in turn, and the sufficiency of the allegations proffered.

A. The Complaint Alleges Facts Supporting Claims That Flexport Violated the Shipping Act on a Normal, Customary, and Continuous Basis (COUNT I)

Count I of the Complaint sets out Peloton’s allegations that Flexport engaged in unjust and unreasonable practices in handling property pursuant to 46 U.S.C. § 41102(c). Here, Peloton has met the requirements establishing a reparations claim under 46 U.S.C. § 41102(c), which requires the following:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 CFR § 545.4

⁷ *Hakimoglu v. Trump Taj Mahal Assoc.*, 876 F.Supp.625, 628-29 (D.N.J. Dec. 23, 1994).

Flexport’s Motion does not contend that Peloton has failed to allege these five elements under 46 U.S.C. § 41102(c). Instead, Flexport makes three primary challenges to Count I, all of which are meritless. First, Flexport’s argument that the Complaint should be dismissed because it cannot possibly determine what allegations support a Shipping Act violation ignores Peloton’s allegations of repeated, unjust and unreasonable foisting of demurrage and detention charges on Peloton during store door cargo movement, which meets the factual predicate necessary for pleading violations of the Shipping Act. Second, Flexport’s argument that the Complaint does not allege a “practice” on the part of Flexport because “Peloton does not link any of those shipments/charges to any specific ‘practice’” ignores the detailed facts in Peloton’s complaint, including that the charges assessed by Flexport through repeated conduct over a period of years were a direct result of its unreasonable practices in handling the movement of cargo. Lastly, Flexport attempts to invent a sixth pleading requirement—alleging harm to the “shipping public”—which *is not* a requirement under the Shipping Act at all.

1. The Complaint Includes Sufficient Factual Allegations Sufficient to Put Flexport on Notice of the Reparations Sought and the Practices Alleged to be in Violation of the Shipping Act

Flexport claims the Complaint “fail[s] to allege any facts at all” and cites to FMC Rule 62 as a basis for requesting dismissal. Motion at 10-12. While Flexport is correct that Rule 62 requires that a complaint include sufficient detail to inform a respondent of the practices alleged to be in violation of law, its suggestion that the Complaint does not meet this standard ignores whole swaths of Peloton’s allegations. Section IV of the Complaint sets forth factual allegations, including details of the practices alleged which are in violation of the Shipping Act. *See* Compl. ¶¶ 16-17, 20-23, 25-30. Each violation alleged includes further detail on the facts supporting the

claims. *See* Compl. ¶¶ 35,⁸ 38,⁹ 41-42,¹⁰ 46.¹¹ The Complaint provides more than sufficient detail to inform Flexport which of its practices are alleged to be in violation of law such that discovery can be conducted to determine Flexport’s fault.

Further, the current Rule 62 (which was updated in 2016) is consistent with the pleading standard under Rule 8 of the Federal Rules of Civil Procedure. It is well established that “[t]he Federal Rules of Civil Procedure set out a liberal notice pleading regime.” *See* Fed. R. Civ. P. 8; *J. Ambrogi Food Distribution, Inc. v. Teamsters Local Union*, 595 F.Supp.3d 352, 358 (E.D.PA. 2022) (internal citations omitted); *see also Sheet Metal Workers Loc. 19 v. Keystone Heating & Air Conditioning*, 934 F.2d 35, 40 (3d Cir. 1991) (“Rule 8(a)(3) of the Federal Rules of Civil Procedure does not require that the demand for judgment be pled with great specificity.”).

Consistent with the well-established principles of notice pleading embodied in Rule 8 of the Federal Rules of Civil Procedure, a complaint before the FMC is sufficiently pled as long as it puts the defendant on notice of the claims against it—a standard that Peloton’s complaint here more than satisfies.

Flexport is well aware of the damages Peloton is alleging. Paragraph 48 of the Complaint provides that “Peloton’s counsel have been in ongoing discussions with Flexport but to date have been unable to resolve the matter. This includes providing a list of charges, with FLEX-ID

⁸ Identifying the relevant time period that the unreasonable practices occurred.

⁹ Paragraph 38 of Peloton’s Complaint provides a detailed list of Flexport’s actions and practices, which Peloton contends were in violation of 46 U.S.C. § 41102(c) (Count I), *see e.g.*, “continuing to book new Peloton Containers under store door terms without taking adequate steps to address increasing delays and costs incurred in securing timely intermodal movement of Peloton Containers,” and “failing to confirm or arrange for the extension of free time and/or mitigate, waive, or reduce D&D charges that were not Peloton’s responsibility.”

¹⁰ Paragraph 41-42 identifies Flexport’s invoicing practices, which Peloton contends were in violation of 46 U.S.C. § 41104(a)(15) (Count II).

¹¹ Paragraph 46 identifies Flexport’s invoicing practices, which Peloton contends were in violation of 46 U.S.C. § 41104(a)(14) (Count III).

numbers.” Compl. ¶ 48. Flexport cannot credibly claim that the Complaint is insufficient or that it was not and is not on notice of Peloton’s claims and possible damages following these discussions, which were aimed specifically at disputed detention and demurrage charges. *Id.* Flexport may disagree with Peloton’s claim to relief for these charges, but that is not a basis for dismissal. Flexport is on notice that Peloton’s claims relate to its unreasonable assessment of detention and demurrage charges from 2020-2023 resulting from Flexport’s inability to meet its obligations on store door moves for a period of approximately three years, as stated in the Complaint.

2. Peloton’s Allegations of Flexport’s Violations of the Shipping Act Occurring Continuously Over Several Years Sufficiently Alleges a “Practice”

Peloton has alleged thousands of improper demurrage and detention charges totaling millions of dollars during a three-year period. Compl. ¶¶ 22, 47. It is well established that a “practice” is sufficiently pled within the meaning of 46 U.S.C. § 41102(c) where, like here, the Complaint “alleges [multiple shipments] were at issue and that this was part of Respondent’s regular practices.” *Way Interglobal Network, LLC v. Shenzhen Uniflex SCM Ltd.*, FMC Dkt. No. 22-28, 2023 WL 130654 at *4 (FMC Jan. 4, 2023) (denying motion to dismiss 41102(c) violation finding “practice” sufficiently alleged where the twenty shipments at issue were part of respondent’s regular practices); *TPG Pressure v. Omni Logistics, LLC*, FMC Dkt. No. 22-31, 2023 WL 2240480, at *3 (ALJ Feb. 24, 2023) (finding that the complaint alleged that the “practice at issue applied to over two hundred containers which is sufficient to allege a normal, customary, and continuous basis”); *see also CMI Distribution, Inc., Complainant, v. Service By Air, Inc., Radiant Customs Services Inc. (formerly Known As Sba Consolidators, Inc.), and Las Freight Systems Ltd., Respondents*, FMC Dkt. No. 17-05, 2019 WL 4734318, at *20 (ALJ May 24, 2019).

Flexport claims that Peloton has failed to allege a practice by Flexport within the meaning of 46 U.S.C. § 41102(c). It attempts to support this assertion by pointing to the Interpretive Rule’s

commentary, which states that a practice must occur on a “normal, customary, and continuous basis.” Motion at 14. Flexport fails to provide any support showing the assessment of detention and demurrage charges to Peloton across many shipments and many years should not be considered a practice. In contrast to Commission precedent where a mere two¹², three¹³, or six¹⁴ instances were found not to constitute a “practice,”¹⁵ Peloton has alleged thousands of individual demurrage and detention charges totaling millions of dollars that Flexport assessed to Peloton through repeated conduct over a period of years. Compl. ¶¶ 16, 22, 25, 30, 37, 38. The Complaint also alleges that the charges imposed by Flexport and paid by Peloton were Flexport’s standard practice and procedure of shifting responsibility for its inland transportation failures to Peloton, and that the assessment of detention and demurrage as a result of that practice and procedure has been occurring on a normal, customary, and continuous basis since 2020.¹⁶ Compl. ¶¶ 23-25, 38.

While the Commission does not adjudicate instances of one-off billing disputes, the Complaint here does not present a one-off situation to which relief is sought. Peloton has explicitly alleged an ongoing, wrongful charging practice of Flexport dating back several years, and thousands of times resulting in millions of detention and demurrage charges. It is hard to imagine a more definitional example of a “practice.”

¹² Motion at 17, citing to *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 2 F.M.C. 2d 224 (ALJ 2020), *aff’d*, 3 F.M.C. 2d 110 (FMC 2021).

¹³ *Hangzhou Qianwang Dress Co. v. RDD Freight International Inc.*, 2 F.M.C.2d 168 (FMC 2020).

¹⁴ *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 178, 201 (FMC 1964).

¹⁵ *Contra Way Interglobal Network, LLC*, 2023 WL 130654 at *4; *see also TPG Pressure*, 2023 WL 2240480 at *3.

¹⁶ Flexport’s reliance on *European Trade Specialists v. Prudential-Grace Lines*, FMC Dkt. No. 74-8, 21 F.M.C 888 (FMC 1979), is also misplaced. In *European Trade*, the Commission found that an ocean freight forwarder application of a tariff rate to a **single** shipment of 1,009 “Roto-Pads” was not sufficient to establish a practice under the Shipping Act. In contrast, Peloton has alleged **thousands** of charges assessed on **hundreds** of shipments, which is more than sufficient to establish a practice under the Shipping Act.

3. “Harm to the Shipping Public” Is Not an Element of Count I, Violation of Section 41102(c)

Flexport is incorrect that to state a claim under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4, the Complaint must allege the conduct affected “customers generally not just a particular customer” or “the shipping public as a whole.” Motion at 15. This is not an element of the cause of action as interpreted by the Commission. Instead of the applicable regulation, Flexport relies on discussion in the Commission’s Notice of Proposed Rulemaking (“NPRM”) with respect to the interpretive regulation ultimately promulgated at 46 C.F.R. §545.4. *See* Motion at 15. Flexport’s “harm to the shipping public” element does not appear in the list of five elements promulgated in the final rule in § 545.4. *See* 83 Fed. Reg. 45367. And for good reason. The reference to “harm to the shipping public” in the NPRM was aimed at discrete practices on single shipments that were not intended to be encompassed by the cause of action; hence the addition of the element requiring that the practices be “occurring on a normal, customary, and continuous basis.” The concept of harm to the shipping public was a reason underlying the continuity requirement reflected in 46 C.F.R. §545.4(b), but contrary to Flexport’s assertion, 46 C.F.R. § 545.4 does not contain a silent, sixth element requiring pleading and proving harm to the shipping public. *See, e.g., Ports America Chesapeake, LLC v. APS East Coast, Inc.*, FMC Dkt. No. 23-04, 2023 WL 5375588 (ALJ Aug. 16, 2023) (rejecting a similar “harm to the shipping public” public argument and finding that adequately pleading a section 41102(c) violation required demonstrating the elements contained in 46 C.F.R. § 545.4).

If the Commission had intended the interpretive rule at 46 C.F.R. § 545.4 to require a showing of “harm to the shipping public” for all unreasonable practices causes of action, it could and would have put such a requirement in the final interpretative rule. The Commission did not, and the relevant element of the interpretive rule promulgated by the Commission was that “claimed

acts or omissions occurred on a normal, customary, and continuous basis” (46 C.F.R. § 545.4(b)), which Peloton has alleged here.

Flexport also has not cited a single case in which a Court found such a requirement. Instead, Flexport erroneously cites to a number of cases from the Commission’s discussion in the Federal Register concerning examples of one-off situations that supported the Commission’s rational to add the continuity requirement in 46 C.F.R. § 545.4(b) but were not used by the Commission to establish a “harm to the Shipping public” element that it did not include in the final rule. For example, Flexport relies on *Whitam v. Chicago, Rock Island & Pacific Railway Co.*, 66 F. Supp. 1014, at 1017 (N.D. Tex. 1946) a World War II-era case from the Northern District of Texas, in support of its manufactured “harm to the shipping public” pleading requirement. Not only is *Whitam* outdated, it is inapposite. In *Whitam*, when addressing the question of whether the defendant’s acts constituted a practice, the court noted that the plaintiff’s grievance was that it had been cheated by being overcharged for freight, which was “an individual matter between himself and defendants” not whether any of defendant’s rules or practices were improper. *Id.* Similarly, Flexport cites to the 1964 case *Stockton Elevators*, in support of the proposition that a practice must be performed in a “uniform, habitual, and continuous manner.” 3 S.R.R. 605, 618 (FMC 1964). Like *Whitam*, in *Stockton*, the Commission concluded that there could be no “practice” when referencing an occasional transaction that was not “habitually performed,” in that case the occasional transactions involving granting concessions and allowances to a specific carrier six times in total. *Stockton Elevators*, 3 S.R.R. 605, 618 (FMC 1964). That is not the situation that is alleged here.

Similarly, the Motion suggests, without any legal support, that Flexport’s actions cannot be found to be “occurring on a normal, customary, and continuous basis” because they were only

directed toward Peloton. Motion at 12-17. There is no such pleading requirement and thus no support for Flexport's motion to dismiss.¹⁷

4. Flexport is Required to Establish Reasonable Dispute Resolution Policies, Practices and Procedures

Under Commission regulations and the Interpretive Rule, NVOCCs, like Flexport, are required to establish reasonable demurrage and detention policies, including reasonable dispute resolution policies under the Shipping Act. 46 C.F.R. § 545.5(d). However, Flexport without any support, contends that having a reasonable dispute resolution policy “does not apply to NVOCCs.” Motion at 13. Flexport offers no substantive basis for its contention that the requirement to have a dispute resolution policy is inapplicable to an NVOCC. As alleged in the Complaint and undisputed by Flexport, Flexport is an FMC-licensed NVOCC, which like all other FMC licensed common carriers, is subject to the 46 U.S.C. § 41102(c) and 46 CFR § 545. Compl. ¶ 5. There is simply no basis to suggest otherwise.

In sum, Peloton has clearly alleged the acts and omissions of Flexport that are occurring on a normal, customary, and continuous basis, against Peloton (and likely other parties). Accordingly, Count I of the Complaint properly alleges a violation of 46 U.S.C. § 41102(c).

B. The Complaint Alleges That Flexport Issued Invoices Violating OSRA 2022 (COUNT II)

Count II of the Complaint alleges that Flexport invoiced Peloton for demurrage and detention charges after the effective date of OSRA 2022 without including the information required by that statute, in violation of 46 U.S.C. § 41104(a)(15). OSRA 2022 provides that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall

¹⁷ Peloton anticipates that discovery will show that Flexport's unreasonable practices were not solely limited to Peloton but instead were a part of Flexport's general practices, policies, and procedures in handling cargo.

not-- ... invoice any party for demurrage and detention charges unless the invoice includes information as described in subsection (d) [referring to 46 U.S.C. § 41104(d)] showing that such charges comply with (A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and (B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled ‘Interpretive Rule on Demurrage and Detention Under the Shipping Act’ (or successor rule).”

Flexport’s Motion does not dispute that it did invoice demurrage and detention to Peloton after the effective date of OSRA 2022 or that it does have the list of FLEX-IDs identifying the charges that Peloton is challenging. Compl. ¶ 49. Flexport also does not assert that its invoices are in compliance with the Shipping Act or Commission regulations. Instead, Flexport only claims that Peloton did not sufficiently address what information was “missing” from demurrage and detention invoices under OSRA 2022 (Motion at 13), which is not a pleading requirement under the statute. *See* 46 U.S.C. § 41104(a)(15). Further, Flexport decries that it “has no idea as to which invoices and charges are time barred or not subject to OSRA 2022,” while also claiming in the motion to dismiss that “95% percent [sic] of the invoices it issued to Peloton were issued prior to OSRA 2022 and many of these are time-barred.” *Id.* at 10, 13. Flexport’s position that, on the one hand, it has sufficient information to allegedly calculate those alleged percentages and yet, on the other hand, most of the invoiced charges are time barred is untenable.

Setting aside Flexport’s conflicting statements, substantively, as previously quoted by the presiding officer in *Rahal* when denying a motion to dismiss, “the complainant need not establish that it will prevail but must adequately plead a plausible claim.” *Rahal, LLC*, FMC Dkt. No. 23-05, 2023 WL 8622028, at *5, Order on Third-Party Respondent’s Motion to Dismiss (Dec. 6, 2023). Section 46 U.S.C. § 41104(d)(2) lists the requirements for detention and demurrage

invoices and section 41104(f) states that failure to include the information required under subsection (d) on an invoice for any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge. Here, the Complaint alleges that Flexport has wrongfully invoiced Peloton for detention and demurrage charges without including the information required to comply with 46 U.S.C. § 41104(a)(15) and (d). *See* Compl. ¶ 29; 41-42. This allegation is sufficient to meet the statutory requirements for an OSRA 2022 claim.

The Complaint adequately pleads a plausible claim that Flexport has failed to include required information on detention and demurrage invoices in violation of the Shipping Act and the parties will address the invoices proffered, the allegations made, and the supporting evidence during the discovery phase. At bottom, Flexport's Motion fails to set out any grounds on which Count II may be dismissed. Instead, Flexport in essence, only makes a temporal argument that most of the charges at issue in the Complaint are pre-OSRA 2022, while at the same time conceding that at least 5% of the charges at issue in the Complaint post-date OSRA 2022. But that is irrelevant as Count II of Peloton's Complaint only alleges this cause of action for invoices issued after the effective date of OSRA 2022. The Complaint is not asserting that Count II is applicable to pre-OSRA 2022 invoices. Thus, the Complaint properly alleges 46 U.S.C. § 41104(a)(15) violations in Count II.

C. The Complaint Alleges Flexport's Practices of Assessing Detention and Demurrage Post-OSRA 2022 in Violation of the Shipping Act (COUNT III)

Count III of the Complaint alleges that Flexport invoiced Peloton for demurrage and detention charges after the effective date of OSRA 2022 in violation of 46 U.S.C. § 41104(a)(14). That statute provides that a "common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not--...assess any party for a charge that is inconsistent or does not

comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).

Flexport asserts that “[t]here is no identification as what these practices are, or to which post-OSRA invoices they applied.” Motion at 13. Flexport’s argument is meritless. Peloton has in fact alleged the practices at issue through its factual allegations (Compl. ¶¶ 16, 22-23, 25-30) and within its alleged violations of the Shipping Act (Compl. ¶¶ 38, 41-42, 46, 47), and that charges were assessed by Flexport in the period after implementation of OSRA. See Compl. ¶¶ 22-23, 30, 35.¹⁸ Accordingly, Count III sufficiently states a claim against Flexport of unreasonable charges in violation of 46 U.S.C. § 41104(a)(14).

CONCLUSION

For the foregoing reasons, Peloton respectfully requests that the motion to dismiss be denied, and Flexport is ordered to file their answer in accordance with the Rules of the Commission.¹⁹

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Respectfully Submitted,

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¹⁸ As also set out in the Complaint at ¶¶ 48-50, the parties have had extensive discussions over the issues with Flexport’s invoices, as a result of which Flexport is well aware of the alleged practices and claims.

¹⁹ Alternatively, in the event the Presiding Officer finds Peloton’s Complaint is lacking in regard to any Count, Peloton respectfully requests the opportunity to amend its Complaint.

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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